PENSION SECTOR REFORMS

Pension has been the integral part of government jobs in India. Pension serves two important soci-economic objectives –

(i) It facilitates the flow of long-term savings for development, i.e., *nation-building*; and

(ii) Also helps establish a credible and sustainable *social security system* in the country.

The New Pension System (NPS) was introduced for the new recruits who join government service on or after ***January 1, 2004***. Although the NPS is perhaps one of the cheapest financial products available in the country, in order to make it affordable for the economically disadvantaged, the government in September 2010 introduced a lower cost version, known as ***Swavalamban Scheme***, which enables groups of people to join the NPS at a substantially reduced cost. As per existing scheme under NPS, Swavalamban could be availed either in 'unorganised sector' or in ***'NPS Lite'***. NPS Lite is a model specifically designed to bring NPS within easy reach of the economically disadvantaged sections of the society – it is extremely affordable and viable due to its optimised functionalities, available at reduced charges. Under the Swavalamban scheme, the government provides subsidy to each NPS account holder and the scheme has been extended until 2016-17.

A customised version of the core NPS model, known as the *NPS Corporate Sector Model* was also introduced from December 2011 to enable 'organised-sector' entities to move their existing and prospective employees to the NPS under its Corporate Model. All the pubic sector banks have been asked to provide a link on their website to enable individual subscribers to open online NPS accounts.

As per the ***Economic Survey 2012-13,*** the pension reforms in India have generated widespread interest internationally but before universal inclusion of poorer sections of Indian society into the pension network is a reality, the economy needs to solve the following *major challenges* –

(i) Lower levels of financial literacy, particularly among workers in the unorganised sector;